Brazil Macro Monthly

Better inflation outlook, elevated geopolitical tension

- The global environment has been volatile - particularly due to geopolitical tensions - but not necessarily negative for EMs. Particularly if the Fed resume its easing cycle next month.
- The house arrest of former President Jair Bolsonaro raises the political temperature in Brasília, amid government negotiations to mitigate the effects of tariffs imposed by the United States on Brazilian products.
- We have reduced our projection for 2025 GDP growth, from 2.5% to 2.2%. Most sectors have been slowing down, in line with tighter credit conditions. For 2026, our expectation remained at 1.7%, mainly due to strong income growth.
- We believe that the government should reach the lower limit of the target in 2025, but additional spending blocks are needed to comply with the spending limit. For 2026, we believe that the probability of meeting the target is high, but public debt should continue to grow.
- We continue to project the exchange rate at 5.50 reais per dollar by YE2025, rising to 5.70 reais in YE2026. In terms of external accounts, the impact of the new tariffs combined with the revised 2025 data has led us to adjust our current account deficit forecast for this year from 2.9% to 3.2% of GDP.
- Short-term inflation continues to benefit from easing wholesale prices and moderation in the services category. With no relevant surprises this month, we continue to project IPCA at 5.0% in 2025 and 4.5% in 2026.
- Short-term inflation outlook has improved, suggesting tight monetary policy is working. A scenario of lower rates in the US may also help the BCB. We still see the easing cycle beginning in January, but we reduced our terminal Selic rate forecast to 12.00% from 12.50%.

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XP Forecasts

	2018	2019	2020	2021	2022	2023	2024	2025 (F)	2026 (F)
GDP growth (%)	1.8	1.2	-3.3	4.8	3.0	3.2	3.4	2.2	1.7
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.3	7.6	6.5	6.0	6.3
IPCA (CPI, %)	3.8	4.3	4.5	10.1	5.8	4.6	4.8	5.0	4.5
SELIC rate (% p.a., end of period)	6.50	4.50	2.00	9.25	13.75	11.75	12.3	15.00	12.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.28	4.86	6.2	5.50	5.70
Central government primary balance (% GDP)	-1.7	-1.2	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.6
Primary balance for target calculation (% GDP)*	–	–	–	–	–	–	-0.1	-0.1	-0.2
Public sector primary balance (% GDP)	-1.5	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.6
Public sector overall balance (% GDP)	-7.0	-5.8	-13.6	-4.3	-4.6	-8.8	-8.5	-8.4	-8.1
General government gross debt (% GDP)	75.3	74.4	86.9	77.3	71.7	73.8	76.5	78.9	83.3
Net public sector debt (% GDP)	52.8	54.7	61.4	55.1	56.1	60.4	61.5	64.2	67.8
Trade Balance (USD Bn)	46.6	29.6	35.7	42.3	51.5	92.3	65.8	52.3	53.7
Exports (USD Bn)	231.9	225.8	210.7	284.0	340.2	343.8	339.9	342.2	350.9
Imports (USD Bn)	185.3	196.2	175.0	241.7	288.7	251.5	274.0	289.9	297.2
Current Account (USD Bn)	-54.8	-65.0	-24.9	-40.4	-42.2	-27.9	-61.2	-73.5	-69.4
Current Account (% GDP)	-2.9	-3.5	-1.7	-2.4	-2.2	-1.3	-2.8	-3.2	-2.9
FDI (USD Bn)	78.2	69.2	38.3	46.4	74.6	62.4	71.1	70.0	65.0
FDI (% GDP)	4.1	3.7	2.6	2.8	3.8	2.9	3.2	3.1	2.7
Nominal GDP (USD Bn)	1,915	1,873	1,475	1,670	1,951	2,190	2,178	2,286	2,388
Nominal GDP (BRL Bn)	7,004	7,389	7,610	9,012	10,080	10,943	11,745	12,665	13,490

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

Foreword – Inflation outlook improves but risks remain

Brazilian inflation outlook is finally improving. The BRL has appreciated some 10% YTD, partially due to elevated domestic interest rates. Local demand is starting to decelerate, owing chiefly to credit-related segments. Recent IPCA (consumer price index) readings have been in line with or below expectations, with a benign breakdown. Producer prices have accumulated 5.2% deflation over the past five months, what suggests that consumer inflation (IPCA) will remain subdued in the coming months.

Also on the favorable front is the increased likelihood that the Fed should resume its easing cycle earlier than expected.

That said, it is still early for the Brazilian Central Bank (BCB) to pop the cork. First, the BRL positive performance may well be partially reverted if the USD picks up. Second, domestic labor market remains heated, with unemployment at record lows and real earnings posting solid gains. Third, government's growth supportive measures are in the pipeline to support the economy next year.

Thus, our IPCA forecast for 2026 remain at 4.5%, the upper bound of the target range. We reduced our terminal Selic rate to 12.00% from 12.50% but still believe the BCB will wait until early next year to start the easing cycle.

We kept most of our forecasts unchanged, apart from a minor increase in the current account estimate for 2025 and 2026 due to changes in the historical series.

Finally, two additional topics are worth mentioning.

Tariffs imposed by US government on Brazilian exports created some noise, but tend to have little economic impact – particularly after the long list of exceptions (some 45% of total exports to the US).

Fiscal revenues remain strong and received additional boost with the Financial Transaction Tax (IOF) rate increase and revenue from future oil field auctions (allowed by a law recently passed by Congress). Thus, we now see the government meeting the fiscal targets in 2025 and 2026.

Global backdrop – Cautious Fed and stable dollar ahead

Caio Megale

Challenging but relatively positive environment for Brazil so far. The global environment has been volatile, particularly due to geopolitical tensions. But not necessarily negative for EM in general, and Brazil in particular. Growth has proved relatively solid in different parts – US, Europe, China – what has sustained global trade and commodity prices despite the threats of a trade war.

The US dollar has stabilized. Following a significant depreciation in the first half of the year, the US dollar level off against most of its peers in the recent two months. Our assumption is that this stabilization will continue ahead on the back of a more conservative Fed. That should help the BRL to also move sideways going forward.

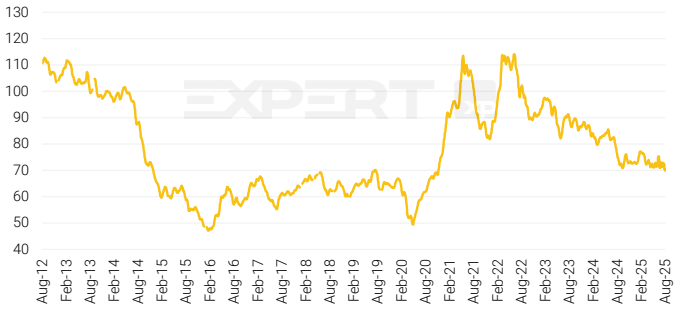
The case for the Fed to resume the easing cycle is getting clear, but it should move cautious ahead. We believe the Fed will be careful before resuming the easing cycle, even with the economy losing steam as the recent labor market results suggest. Our assumption is two cuts in the second half, at most. Considering that the economy is still growing – as revealed by the 2Q GDP figures – the monetary authority will opt to see the impact of higher tariffs on the consumer inflation before resuming rate cuts.

Oil prices are back to 70s. Brent oil prices (the most relevant for Brazil) scaled back to above 70 US dollars per barrel, a positive development for Brazilian trade balance and fiscal revenue. Grain prices such as soybeans and corn, also relevant for Brazil, fell a bit recently, while iron ore recovered somewhat. Overall, commodities are now neither a boost nor a drag for Brazil, and we expect that to continue ahead.

The US Dollar is likely to move sideways ahead
Dollar Index (drop = depreciation)

Source: BBG

Commodity prices have been volatile, but with no clear trend
Price index of the main brazilian commodities exported* (USD)



Source: BBG, XP
* Soybeans, corn, oil and iron ore

BRAZIL – Better inflation outlook, elevated geopolitical tension

Political environment – August begins amid turmoil

Paulo Gama, Bárbara Baião, Bianca Lima e João Paulo Machado

August begins under the strong impact of Justice Alexandre de Moraes' decision to place former President Jair Bolsonaro under house arrest. According to Moraes, the former president violated

restrictive measures imposed last month by making public statements through third-party social media accounts.

The measure gave Bolsonaro's allies room to reinforce claims of political persecution — especially because the arrest was ordered in a separate case from the one investigating the January 8 events, prior to a final conviction, and on Moraes' individual decision.

The rise in political tensions — beyond bolstering the Bolsonarist narrative — allowed the opposition to paralyze Congress in the first week after the legislative recess. The disruption had consequences for the government's economic agenda. The first public hearing of the committee analyzing Provisional Measure (MP) 1,303 — which alters investment fund taxation and would have included Finance Minister Fernando Haddad — had to be canceled due to the lack of a conducive political environment, delaying the legislative schedule by at least a week. Similarly, confirmation hearings for some nominees to regulatory agencies scheduled for next week were also canceled, along with the installation of the committee that will examine the MP for the electric sector.

Efforts to unblock the congressional agenda now hinge on opposition demands to advance votes on the Amnesty Bill, the impeachment of Justice Moraes, and a constitutional amendment (PEC) removing the Supreme Court's power to try members of Congress — none of which currently enjoy majority support. The congressional leadership is expected to avoid more polarizing proposals and attempt to ease tensions in the coming weeks.

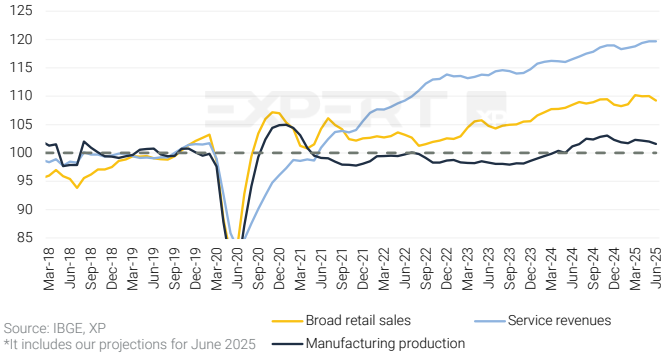
While the group's ability to mobilize may weaken over time, it continues to hinder the government's plans to accelerate its agenda in the second half of the year. In this context, the opposition hopes to exploit the volatile political environment to delay revenue-raising measures — aiming to undermine the government's fiscal capacity and, consequently, its ability to propose public policies that could boost its popularity in an election year.

Two particularly important items that will require close attention from the government to move forward as planned by the economic team are: (i) the income tax reform — already approved in the special committee of the Lower House but still pending votes in the House of Representatives and the Senate, and (ii) MP 1,303, which still needs to be discussed in a joint committee before heading to both legislative Houses.

On the electoral front, the abrupt decision to arrest Bolsonaro — and the subsequent escalation in rhetoric against the Supreme Court — exposed lingering divisions among his supporters regarding the configuration of the 2026 presidential race. At the height of the turmoil, there appears to be little incentive for Bolsonaro to publicly abandon his own political project for 2026, although the possibility of endorsing a candidate outside his immediate family remains open.

In another development, August marks the start of the additional tariffs imposed by the United States on Brazilian exports. The Brazilian government used last month's announcement to bolster its narrative of defending national sovereignty — and now finds itself engaged in debates over public policies aimed at mitigating the impact of the new tariffs. Attention is focused on the risk that, in the name of this narrative, announcements may lead to policy responses with excessive or prolonged fiscal impact — a concern that the economic team has consistently voiced.

Sectors sensitive to the economic cycle gradually losing steam
S.a. 2019 = 100. 3MMA.



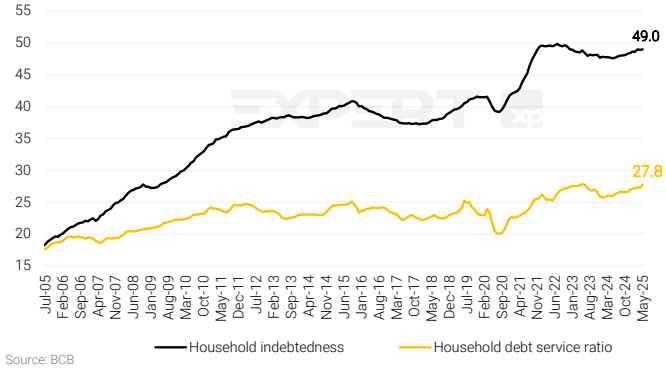
Source: IBGE, XP
*It includes our projections for June 2025

Activity – Lower 2025 GDP growth: from 2.5% to 2.2%. Our expectation for 2026 remains at 1.7%.

Rodolfo Margato

Credit market loses momentum. The slowdown in credit concessions continued in June, particularly in the corporate segment. Spreads, interest rates, and default rates are rising, in line with the effects of contractionary monetary policy. Similarly, household indebtedness and debt service ratio reached their highest levels since 2011. We believe that the gradual deceleration in the credit market will continue in the second half of the year.

Increase in household debt amid high interest rate scenario
As a proportion of accumulated income in the last 12 months (%)

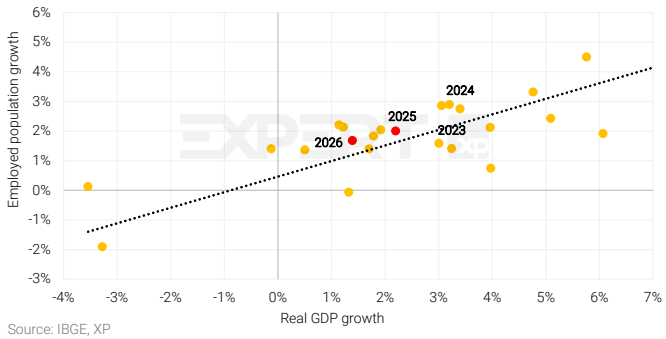


Source: BCB

Widespread moderation in key sectors. Activities more sensitive to the economic cycle have been posting weaker results since early 2025. Manufacturing production, retail sales (especially in more credit sensitive categories), and service sector revenue have been less dynamic compared to 2024. Only primary activities, such as agriculture and the extractive industry, are advancing at a faster pace, reflecting the record grain harvest and increased oil production.

Lower economic growth after a long sequence of upward revisions. Activity data has come in slightly below our expectations in recent weeks. As a result, we now estimate that GDP grew 0.3% QoQ in Q2, compared to a previous estimate of 0.5%. Furthermore, US tariffs on Brazilian exports are expected to have a negative impact on short-term activity, albeit modest. We calculate a net effect of around 0.15pp on 2025 GDP growth, which already considers the long list of exceptions presented and that part of exports will be redirected to other markets (details here). In our view, Brazil's GDP will continue to show moderate growth throughout the second half of the year (see chart).

GDP and employment growth to moderate ahead
Annual growth rates



Source: IBGE, XP

On the other hand, cushion factors are still at play. First, the labor market is quite tight. The unemployment rate has reached a new all-time low, and real wages have risen for the ninth consecutive month, with no signs of easing. Hence, the real aggregate wage bill should rise approximately 5.0% in

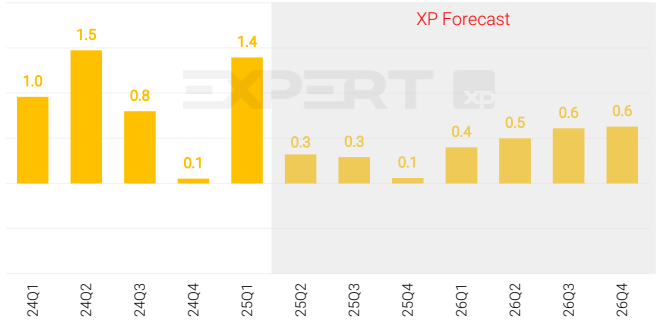
2025, above our previous expectation of 3.5%. Moreover, fiscal transfers remain high, particularly in the current quarter's Court-ordered debt payments (see the "Fiscal Accounts" section). These factors should prevent a sharp downturn in overall economic activity.

In this scenario, we have reduced our 2025 GDP growth projection from 2.5% to 2.2%. This is our first GDP downward revision since early 2022.

For 2026, we maintained our 1.7% GDP growth projection. The statistical carryover effect for next year is expected to be near zero (0.3pp). We also anticipate a gradual easing of monetary policy, with the terminal Selic rate remaining at restrictive levels. On the other hand, real household disposable income should continue to rise, including on the back of the expected reduction of the income tax threshold to BRL 5,000/month (and tax discounts for those earning up to BRL 7,300/month). Additional fiscal and quasi-fiscal stimulus measures in the upcoming election year cannot be ruled out.

The Brazilian economy is growing above its potential; we project neutrality only at the end of 2026. The output gap – the difference between actual and potential GDP – is slightly below 1.0pp, according to our estimates. We expect this gap to gradually narrow over the coming quarters, reaching near-neutral levels only at the end of next year.

The slowdown in domestic activity is becoming clearer
Total GDP. QoQ. S.a. (%)



Source: IBGE, XP

XP Forecast (%)

GDP Breakdown	2023	2024	2025 (F)	2026 (F)
Agriculture & Livestock	16.3	-3.2	7.2	3.0
Industry	1.7	3.3	1.4	1.2
Services	2.8	3.7	2.1	1.9
Total GDP	**3.2**	**3.4**	**2.2**	**1.7**
Household Consumption	3.2	4.8	2.3	2.0
Government Consumption	3.8	1.9	1.9	1.8
Gross Fixed Capital Formation	-3.0	7.3	4.5	1.6
Exports	8.9	2.9	2.7	2.2
Imports (-)	-1.2	14.7	4.2	2.5

Source: IBGE, XP

Public finances – Closer to the target, but still far from sustainability

Tiago Sbardelotto

Back into negative territory. The central government recorded a deficit of BRL 44.3 billion in June, bringing the accumulated result for the year back into negative territory – a deficit of BRL 11.5 billion. Net revenue continues to slow but remains above inflation (2.8%). Spending, in turn, shows a real decline of 2.4% - largely due to the postponement of court-ordered debt payments this year - but this trend should be reversed in the coming months. **Even so, the short-term trend remains relatively favorable.**

The government should meet its primary balance target this year... Our assessment is based on three factors: i) tax revenue growth will remain significant – we project a real increase of 4.5% in net revenue – even amidst a slowdown in economic activity; ii) the government should count on extraordinary revenue from oil field auctions (Law No. 15,164/25) and dividends opportunistically, and iii) spending execution, mainly discretionary, has been much slower than last year, signaling a potential higher surplus (under-execution). **As a result, we project a total deficit of BRL 63.7 billion (0.5% of GDP) and a deficit for complying with the target of BRL 15.0 billion (0.1% of**

BRL Bn

Measures	2025			2026	
	2nd bimonthly report	3th bimonthly report	XP	Gov	XP
Tax transactions	31.5	31.5	20.0	-	-
Recovery of credits	15.5	15.5	-	-	-
Special control over the use of tax benefits	-	-	10.0	-	-
Compensation for the payroll exemption	7.0	7.0	7.0	7.0	7.0
increase in IOF tax rate	20.0	11.5	11.5	27.7	27.7
Taxation of exempt securities	-	-	-	2.6	1.2
Increase in betting tax	-	0.3	0.4	1.7	2.5
Change in CSLL for fintechs	-	0.3	0.3	1.6	1.6
Increase in interest on equity (IoE)	-	-	-	5.0	6.0
Change in tax compensations	-	10.0	2.0	10.0	2.0
Auction of oil uncontracted areas	-	15.0	-	-	11.0
Other	-	9.3	6.0	-	-
Total	**74.0**	**100.3**	**58.2**	**55.6**	**59.0**

Source: Budget Bill, XP

GDP) – therefore, BRL 16.0 billion above the lower limit of the primary result target (BRL 31.0 billion or 0.25% of GDP).

...Nonetheless, complying with the spending limit will require additional effort. Recent data shows a gradual reduction in the backlog of social security and welfare benefits requests and, therefore, some normalization on the payment flow. This should mean an additional freeze of BRL 5.0 billion to comply with the spending limit.

Lower primary deficit forecast also for 2026. Revenue-increasing measures already implemented or under discussion (increase in the IOF tax, end of tax exemptions for agribusiness and real estate credit securities, etc.) bring the government closer to its 2026 target. **Our projection points to a deficit of BRL 82.7 billion (0.6% of GDP) and a deficit to meet the target (excluding BRL 55.1 billion in court-ordered payments) of BRL 27.6 billion (0.2% of GDP).** Therefore, an effort of the same magnitude is needed for achieving the lower limit of the target (zero) or BRL 61.8 billion for the actual target (BRL 34.1 billion, or 0.25% of GDP).

We believe that the government should not change next year's primary balance target. Although the need for revenue remains high and some measures require legislative approval, the government can use extraordinary revenue from dividends, oil auctions, and other sources to achieve the primary result. Thus, we understand the government will likely succeed in achieving the current target.

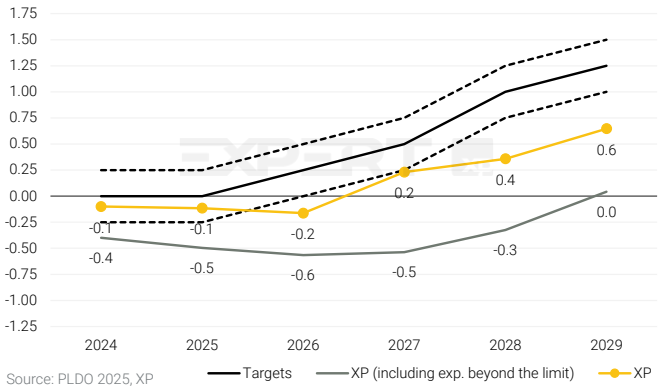
PEC 66/2023 creates room in the spending limit for 2026... The legislative proposal allows for a BRL 12.4 billion increase in next year's spending limit, enough to accommodate much of the spending resulting from social security benefits and BPC/LOAS. However, we see no room for additional spending, including the expansion of the *Pé de Meia and Auxílio Gás* programs, and an adjustment to the Bolsa Família program in real terms. These measures would require an additional BRL 26.5 billion - well beyond next year's spending limit.

... And reduces the effort to meet the target starting in 2027. Currently, about 45% of court-ordered debt payments and small claims total value is not accounted within the primary result target. With PEC 66/2023, this figure will rise to 90% starting in 2027, allowing the target to be achieved even with a larger total deficit.

Regional governments maintain surplus. Regional accounts continue to show stronger results for municipalities and weaker numbers for states. State-owned companies, in turn, remain close to last year's observed performance. **Thus, we estimate a consolidated public sector deficit of BRL 58.1 billion (0.5% of GDP) for 2025 and BRL 81.7 billion (0.6% of GDP) for 2026.**

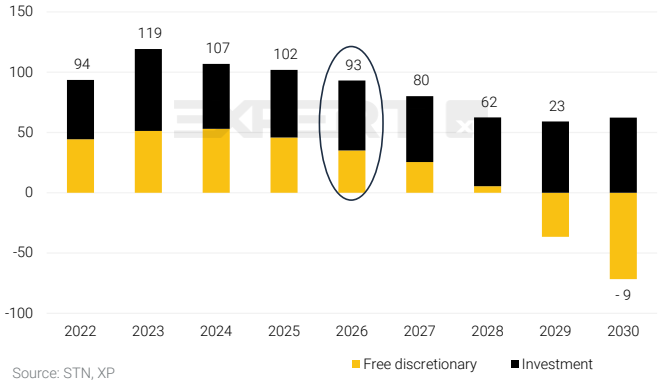
Debt stabilization remains far from materializing, regardless of government meeting fiscal targets. We expect general government gross debt (GGGD) to reach 78.9% of GDP and 83.3% of GDP by the end of 2025 and 2026, respectively. The net public sector debt (NPSD) should end the year at 64.2% of GDP

Meeting fiscal targets has become more likely
Primary balance and targets (% of GDP)



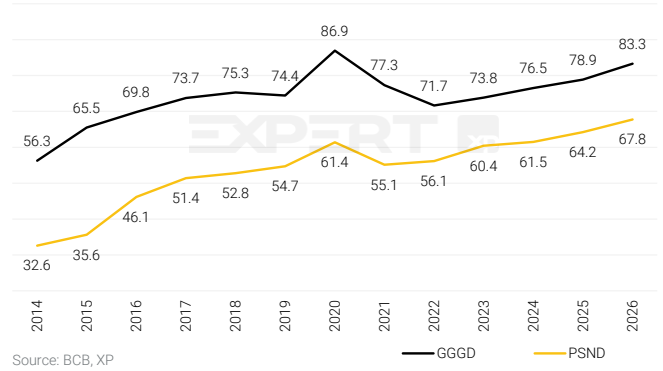
Source: PLDO 2025, XP

Discretionary spending and investments should be lower in 2026, even with additional room provided by PEC 66/23.
Free discretionary and investments (BRL bn of 2026)



Source: STN, XP

Public debt continues to rise
General gov. gross debt and public sector net debt (% of GDP)



Source: BCB, XP

and next year at 67.6% of GDP. Public debt remains on an upward path in both measures – reflecting continuously elevated risk premium.

External Accounts – US Tariffs Have Limited Impact on the Trade Balance

Luíza Pinese

The exchange rate has stabilized around 5.50 reais per U.S. dollar in early August, following a period of heightened volatility in July, when it ranged between 5.40 and 5.60. This outcome came despite the US government's announcement of a 50% tariff on Brazilian exports. The subsequent release of an exemption list – covering roughly 45% of Brazil's export basket – helped soften the impact. In addition, expectations that the Fed may resume its interest rate cutting cycle have helped prevent a broader appreciation of the US dollar.

Accordingly, we do not expect significant changes in the exchange rate during the second half of the year. **We maintain our forecast of 5.50 reais per dollar for the exchange rate by YE2025, and 5.70 reais per dollar by YE2026,** consistent with the inflation differential. However, this outlook remains highly dependent on the evolution of the global backdrop and the prospects for fiscal reforms in Brazil following next year's elections.

Trump's new tariffs are expected to have limited impact on Brazil's trade balance. Although Brazil faced one of the highest rates in August, the broad list of exemptions — covering civil aircraft, orange juice, oil, iron products, and pulp — helped offset much of the negative effect. We estimate a maximum impact of up to USD 3.5 billion this year. Still, we believe there is room for negotiations in the second half, which could lead to an expansion of the exemption list and/or a reduction in the tariff rate. As a result, we have revised our estimate for the export impact down to USD 2.0 billion. Imports, meanwhile, were adjusted slightly higher for this and next year, reflecting somewhat stronger-than-expected performance in recent months in the Fuels and Lubricants category.

Taking all factors into account, we have revised our trade balance forecast for 2025 from USD 57.5 billion to USD 52.3 billion and for 2026 from USD 56.0 billion to USD 53.7 billion.

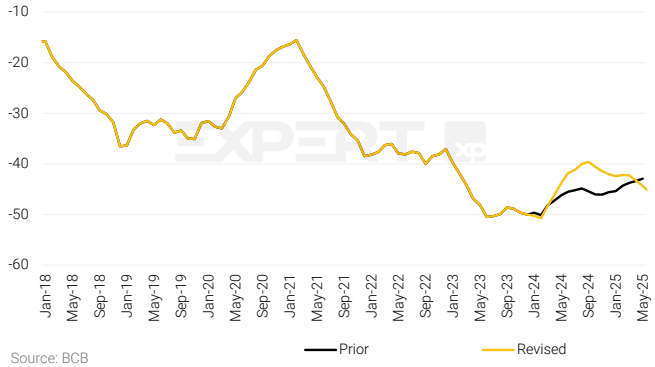
A narrower trade surplus, coupled with the revision to the primary income series, has led to a higher current account deficit forecast. In addition to the trade balance adjustments described above, our projection for the current account deficit now incorporates the USD 2.6 billion increase in the primary income deficit for the first months of the year. **Our current account deficit forecast has been revised from USD 65.7 billion (2.9% of GDP) to USD 73.5 billion (3.2% of GDP) for this year,**

XP Forecats for the Trade Balance — USD Bn

Share		2022	2023	2024	2025 (F)	2026 (F)
	Exports	**334.1**	**339.8**	**337.1**	**338.0**	**347.7**
22%	Agriculture & Livestock	74.8	81.5	72.5	78.6	79.4
54%	Manufacturing Industry	181.4	177.1	181.8	185.9	193.6
24%	Mining	76.2	79.0	81.0	71.6	72.9
1%	Other	1.7	2.2	1.8	1.9	1.8
	Imports	**274.3**	**240.7**	**262.8**	**278.1**	**285.0**
14%	Capital Goods	28.1	29.6	35.8	42.9	39.9
15%	Consumer Goods	29.7	32.8	40.5	43.0	43.6
60%	Intermediate Goods	172.5	146.1	156.5	168.2	174.5
11%	Fuels and Lubrificants	44.0	32.2	30.0	24.0	27.0
	Trade Balance (MDIC)	**59.8**	**99.1**	**74.3**	**59.9**	**62.7**
	Trade Balance (BCB)	**51.5**	**92.3**	**65.8**	**51.6**	**54.4**

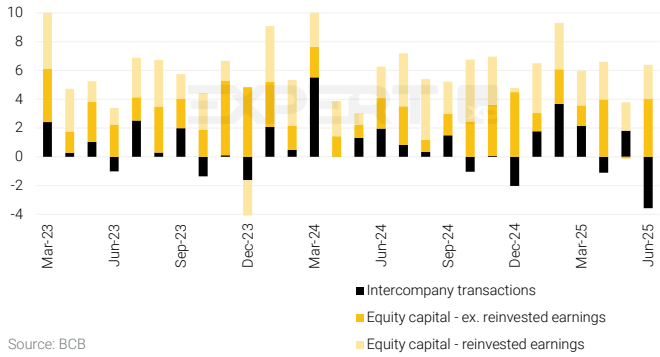
Source: MDIC, XP

Revisions to historical series revealed lower income deficit for 2024, but higher for 2025
Net expenses on profits and dividends. 12M (US$ Bn)



Source: BCB

FDI inflows remain solid
Montlhy data (USD Bn)



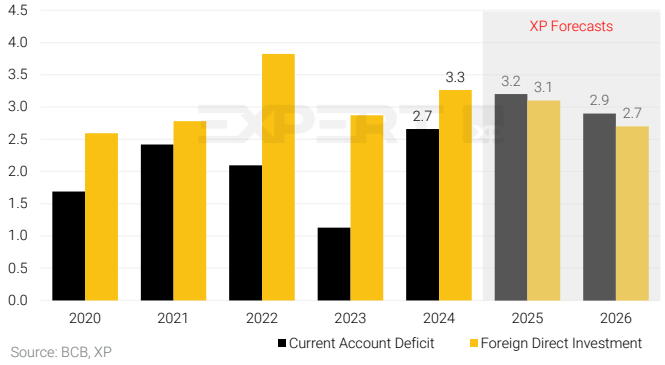
Source: BCB

and from USD 65.0 billion (2.7% of GDP) to USD 69.4 (2.9% of GDP) billion for next year.

We continue to expect Foreign Direct Investment (FDI) inflows to remain relatively robust. The weaker-than-expected figures in June appear to reflect a one-off event, driven by the absence of intercompany loan rollovers and the prevalence of scheduled amortizations. **Accordingly, we maintain our forecast for net FDI inflows at USD 70.0 billion in 2025 (3.2% of GDP) and USD 65.0 billion in 2026 (2.9% of GDP).** We believe recent geopolitical noise will have limited impact on multinational companies' long-term strategic decisions.

That said, developments in US trade policy remain a risk to monitor. The US is Brazil's largest foreign investor, holding around 27% of total FDI stock (USD 272.9 billion) according to 2023 data. In comparison, Spain is the second-largest investor, with 7% of the total.

Current account deficit should stabilize amid slowdown in economic activity
(% of GDP)



Source: BCB, XP

Inflation – Benign readings in the short term, but we still do not see inflation below the upper bound of the target range.

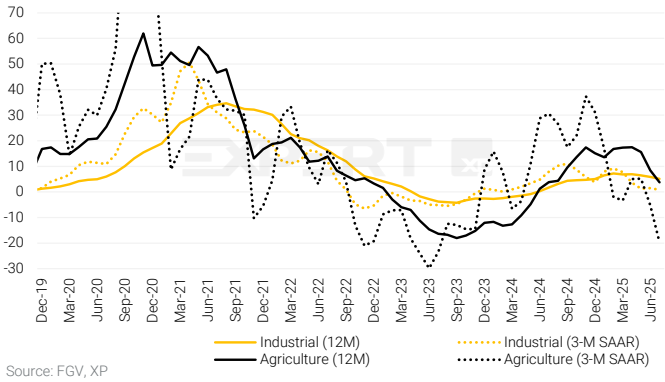
Alexandre Maluf

Short-term inflation remains on a benign path. Recent IPCA readings came in line with or below market expectations, with widespread relief among market-set prices. Similarly, wholesale inflation (IPA) continues to register significant deflation, both in foodstuff and industrial goods. The scenario therefore points to a short-term improvement in the inflation qualitative outlook.

Industrialized goods inflation is expected to remain low in the coming months. The exchange rate appreciation seen in the first half of the year eased prices pressures on durable and semi-durable goods. Additionally, US trade policy tends to be disinflationary in the short term, both by increasing the supply of foreign products (especially Chinese) in Brazilian markets and by generating an oversupply of local products. Finally, it is worth mentioning new car prices benefit from the government's IPI reduction – we expect deflation for this subcategory in August and September. Thus, we project industrial goods inflation at 2.7% in 2025, below the historical average.

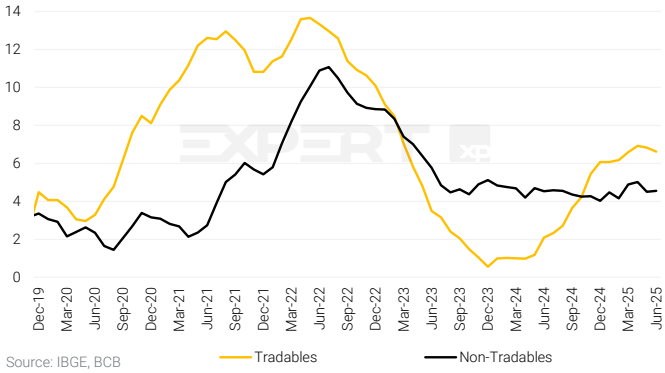
Services inflation also showed relief in July but remains the main risk ahead. The unemployment rate has returned to historic lows, and real wages remain on a solid trajectory. Therefore, the fundamentals for services inflation – employment, income, inertia – do not suggest a persistent and widespread decline ahead. On this, we recommend reading our quarterly update on productivity, labor market, and services inflation (link). We project an increase of 5.8% for the group this year.

PPI deflation suggests benign IPCA ahead
IPA-M (%)



Source: FGV, XP

Tradable goods inflation stabilizes, following BRL appreciation and US tariffs effects
IPCA (%), 12M



Source: IBGE, BCB

Electricity adds volatility in the short term. The National Electricity Agency (Aneel) announced the activation of red flag 2 on electricity tariffs in August, a level expected to remain until September, according to our energy trading desk, returning to red flag 1 in October. The worsening scenario occurred after the quarterly load revision announced by ONS (National System Operator), which brought less favorable climate parameters. For November and December, the scenario remains uncertain. For now, we project Yellow Flag for the last bimester of 2025.

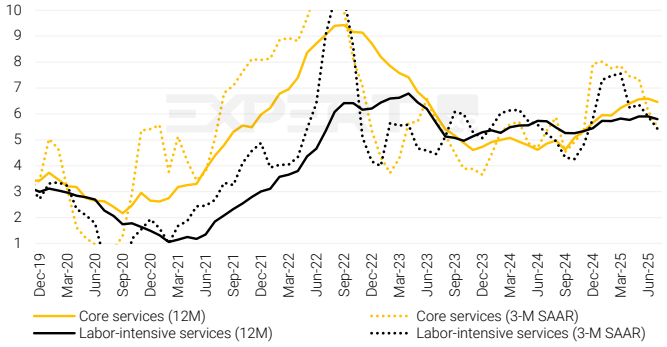
We still project a gasoline price cut, but this has become less likely. Given current exchange rate levels and international gasoline prices, domestic fuel prices are aligned with the global market. Excluding the gasoline price cut from our scenario, our IPCA projection would increase by 0.1 p.p.

Falling food prices also help short-term inflation. Wholesale deflation and favorable seasonality have translated into favorable readings for food inflation. Notably, coffee prices are starting to stabilize after considerable wholesale declines in recent months, along with cereals and proteins. Given the increase in import tariffs by the US, we see additional downward pressures in the short term - but limited room to change our annual view for food inflation. In this context, we project food inflation at home at 6.4% in 2025.

We maintain our 2025 IPCA forecast at 5.0%.

For the 2026 IPCA, we maintain our projection at 4.5%. As we wrote last month, fiscal risks in an election year should generate volatility in the exchange rate and support activity. Additionally, the labor market has remained tight, and we do not see a significant decline in inflation expectations toward the target. That said, inflation convergence should be more significant starting in 2027, after a long period of restrictive interest rates.

Core services decelerated despite a tight labor market
IPCA (%)



Source: IBGE, BCB, XP

IPCA Groups — 12M (%)

	2023	2024	2025 (F)	2026 (F)
Monitored prices	9.1	9.1	4.9	4.4
Market-set prices	3.1	3.1	5.0	4.6
Food at home	-0.5	-0.5	6.4	5.8
Industrials	1.1	1.1	2.7	3.2
Services	6.2	6.2	5.8	5.0
IPCA headline	**4.6**	**4.6**	**5.0**	**4.5**

Source: IBGE, XP

Monetary Policy – A 6-month long prolonged period

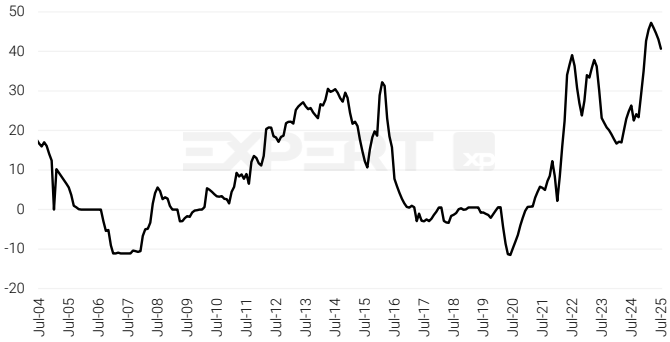
Caio Megale

As BRL strengthens and domestic demand loses steam, the short-term inflation outlook improves. Expectations for 2026 inflation have begun to ease after a long period of stability. The BCB should gradually gain confidence that its efforts are paying off.

Wider room for the Fed to resume its easing cycle in the second half of the year also helps to improve Brazilian balance of risks for inflation.

The main risk to inflation convergence remains the positive output gap. There are signs of a slowdown in activity, but not

Medium-term inflation expectations have eased slightly, but remain well above the target
IPCA forecast (Focus survey) 1Y / 1Y forward (% of the target)



Source: BCB, XP

enough to create spare capacity in the economy. Unemployment stood at record lows in June, with robust earnings growth.

Moreover, despite some recent improvement, **inflation expectations remain above the 3.0% target** for the short and medium term.

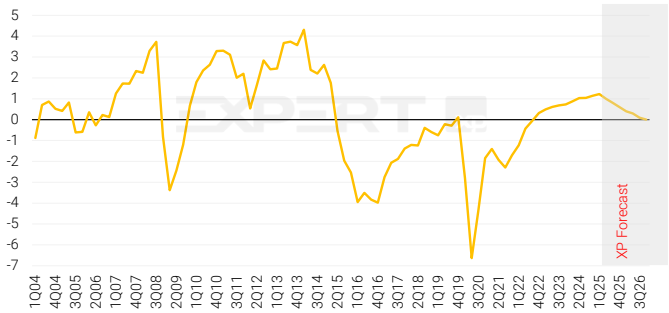
A long pause. Against this backdrop, the BCB monetary policy Committee (Copom) argued for "a significantly contractionary monetary policy for a very prolonged period" and signaled a wait-and-see period ahead.

Tight money finally paying off. As detailed, we foresee further improvement in consumer inflation dynamics in the second half of the year, particularly considering the significant deflation at the wholesale level. Moreover, different from the observed in the past 2-3 years, economic activity seems to be finally losing steam, even considering the growth-supportive measures intended by the current administration.

In this context, we reduced our terminal Selic rate to 12.00% from 12.50%. But we still see cuts only next wear. We anticipate a monetary easing cycle starting in January, with the Selic rate reaching 12.00% after six consecutive 50-bp cuts.

Neutral monetary policy depends on fiscal reforms. For the benchmark rate to get closer to its neutral level – around 5.50% in real terms – greater progress will be needed both in rebalancing the output gap and (mainly) in improving the prospects for fiscal reforms from 2027 onwards.

Brazilian output gap is expected to close in 26Q3, one quarter earlier than expected
Actual GDP/Potential GDP (%)



Source: BCB, IPEA

XP Forecasts

	2018	2019	2020	2021	2022	2023	2024	2025 (F)	2026 (F)
GDP growth (%)	1.8	1.2	-3.3	4.8	3.0	3.2	3.4	2.2	1.7
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.3	7.6	6.5	6.0	6.3
IPCA (CPI, %)	3.8	4.3	4.5	10.1	5.8	4.6	4.8	5.0	4.5
SELIC rate (% p.a., end of period)	6.50	4.50	2.00	9.25	13.75	11.75	12.3	15.00	12.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.28	4.86	6.2	5.50	5.70
Central government primary balance (% GDP)	-1.7	-1.2	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.6
Primary balance for target calculation (% GDP)*	–	–	–	–	–	–	-0.1	-0.1	-0.2
Public sector primary balance (% GDP)	-1.5	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.6
Public sector overall balance (% GDP)	-7.0	-5.8	-13.6	-4.3	-4.6	-8.8	-8.5	-8.4	-8.1
General government gross debt (% GDP)	75.3	74.4	86.9	77.3	71.7	73.8	76.5	78.9	83.3
Net public sector debt (% GDP)	52.8	54.7	61.4	55.1	56.1	60.4	61.5	64.2	67.8
Trade Balance (USD Bn)	46.6	29.6	35.7	42.3	51.5	92.3	65.8	52.3	53.7
Exports (USD Bn)	231.9	225.8	210.7	284.0	340.2	343.8	339.9	342.2	350.9
Imports (USD Bn)	185.3	196.2	175.0	241.7	288.7	251.5	274.0	289.9	297.2
Current Account (USD Bn)	-54.8	-65.0	-24.9	-40.4	-42.2	-27.9	-61.2	-73.5	-69.4
Current Account (% GDP)	-2.9	-3.5	-1.7	-2.4	-2.2	-1.3	-2.8	-3.2	-2.9
FDI (USD Bn)	78.2	69.2	38.3	46.4	74.6	62.4	71.1	70.0	65.0
FDI (% GDP)	4.1	3.7	2.6	2.8	3.8	2.9	3.2	3.1	2.7
Nominal GDP (USD Bn)	1,915	1,873	1,475	1,670	1,951	2,190	2,178	2,286	2,388
Nominal GDP (BRL Bn)	7,004	7,389	7,610	9,012	10,080	10,943	11,745	12,665	13,490

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

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